

can achieve this by contacting your bank or credit union or speaking with a financial adviser.

Snowballs and avalanches

If you're more of a DIY person, one way to tackle debt is the snowball method. List all your debt from the smallest amount owing to the largest, then tackle the smallest debts first, working your way up to the largest one. For example, if Ha-eun had \$2000 credit card debt on one card, \$5000 on another and a \$13 000 car loan, she'd pay them off in this exact order. This helps to build momentum and is often a good place to start for those who may feel overwhelmed.

Why you'd want to use the snowball method:

- It gives you motivation over every 'small win'.
- Your first debt is paid off sooner.

Another way is the avalanche method, where you tackle the debt with the highest interest rate and then work your way down. In this case Ha-eun would first pay down the loan with the highest interest rate, then the one with the second highest interest rate, and so on. This is a great method for when interest rates are higher, which can grow the debt out of control much faster.

Why you'd use the debt avalanche method:

- If interest rates are high, it stops the debt from growing quickly.

Invest or pay off that mortgage?

A common question I get is how to deal with having a mortgage and wanting to invest. Are you meant to pay off your mortgage first and then invest, or should you do both simultaneously? The short answer is either works.

The long answer is that it depends on the interest rate of the mortgage, how many years are left on the loan, and your personal preferences. Let's imagine you had a \$500 000 mortgage with a 5 per cent interest rate for 30 years.